



Office of Public Affairs
U.S. Department of Justice



Chicago Lab Owner Sentenced to Seven Years in Prison in Connection with \$14M COVID-19 Fraud Scheme

Wednesday, June 18, 2025

For Immediate Release

Office of Public Affairs

The owner of a Chicago laboratory has been sentenced today to seven years in prison for his role in a COVID-19 testing fraud scheme.

According to court documents, Zishan Alvi, 46, of Inverness, Ill., owned and operated a laboratory in Chicago that performed testing for COVID-19. In 2021 and 2022, Alvi caused claims to be submitted to the U.S. Department of Health and Human Services' Health Resources and Services Administration (HRSA) for COVID-19 tests that were either not performed at all or not performed correctly. As part of the scheme, the laboratory released negative test results to patients, even though the laboratory either had not tested the specimens or the results were inconclusive because Alvi had diluted the tests to save on costs, rendering the tests unreliable. Alvi knew that the laboratory was releasing negative results for tests that were not performed or were inconclusive but still caused the laboratory to bill HRSA for those tests. Alvi also lied to laboratory directors to conceal his fraud. As a result of the fraudulent claims, HRSA paid the laboratory more than \$14 million.

Alvi pleaded guilty to one count of wire fraud on September 30, 2024. At sentencing, he was also ordered to pay \$14,199,217 in restitution, and forfeit approximately \$6.8 million in cash, a 2021 Range Rover HSE, and over \$630,000 from an E-Trade account.

Matthew R. Galeotti, Head of the Justice Department's Criminal Division, U.S. Attorney Andrew S. Boutros for the Northern District of Illinois, Special Agent in Charge Douglas S. DePodesta of the FBI Chicago Field Office, and Deputy Inspector General for Investigations Christian J. Schrank, of the U.S. Department of Health and Human Services Office of Inspector General (HHS-OIG) made the announcement.

The FBI and HHS-OIG investigated the case.

Trial Attorney Claire Sobczak Pacelli of the Criminal Division's Fraud Section and Assistant U.S. Attorney Jared Hasten for the Northern District of Illinois prosecuted the case.

The Fraud Section leads the Criminal Division's efforts to combat health care fraud through the Health Care Fraud Strike Force Program. Since March 2007, this program, currently comprised of nine strike forces operating in 27 federal districts, has charged more than 5,800 defendants who collectively have billed federal health care programs and private insurers more than \$30 billion. In addition, the Centers for Medicare & Medicaid Services, working in conjunction with the Office of the Inspector General for the Department of Health and Human Services, are taking steps to hold providers accountable for their involvement in health care fraud schemes. More information can be found at <https://www.justice.gov/criminal-fraud/health-care-fraud-unit>.

Updated July 30, 2025

Topics

- COVID-RELATED FRAUD
- DISASTER FRAUD
- HEALTHCARE FRAUD

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